

E10 and E20 vehicles. In May, the Bureau of Indian Standards notified fuel specifications for higher ethanol blends, including E22, E25, E27 and E30 petrol.

“With E25, it is important to test older vehicles, because it can potentially have some impact,” says Gulati. “The assessment of whether E25 is feasible or not will be only consequent to the outcomes of the study. There are two parameters one has to look at: legacy vehicles and new vehicles. The government and the industry will have to do a cost-benefit analysis to see if that makes sense,” he says.

However, raising the baseline ethanol blend in quick succession may not be a wise move.

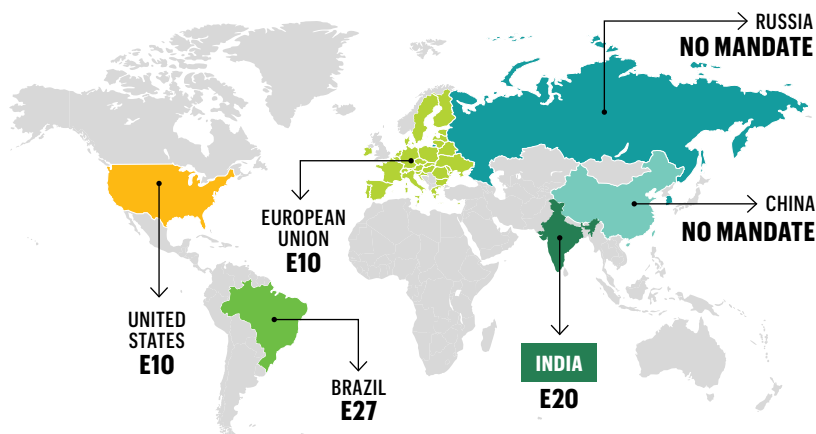
“Taking ethanol blending from the current 20% (E20) to higher levels will have to be done with care, taking into account multiple factors such as vehicle safety, engine compatibility for older vehicles, fuel economy and mass availability of ethanol-blended fuel,” says Rajesh Jejurikar, ED and CEO, Auto and Farm Sector, Mahindra & Mahindra Ltd.

Any further increase in the baseline ethanol blend may prompt customers to buy diesel cars instead of petrol. “Increasing blending to E25 is less disruptive and largely compatible with modern engines, but consumer concerns over mileage loss and maintenance might prompt some shift towards diesel, particularly in cost-sensitive segments,” says Ravi G Bhatia, President, JATO Dynamics. However, stricter emission norms and the long-term phase-down of diesel are likely to limit any significant transition over the long term, he adds.

It's no wonder that the share of petrol-powered cars in the

INDIA VS THE REST

India has one of the most ambitious ethanol blending programmes



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country declined from 51% in 2024-25 to 47% in FY26 while that of diesel has remained stable at 18%. The trend is likely to continue as ethanol-wary customers may opt for diesel cars in search of better fuel efficiency.

While the government has taken a leaf out of Brazil's biofuel programme when it comes to ethanol, the same alacrity has not been shown for biodiesel, mainly because India is a net importer of vegetable oils used in biodiesel. India's ethanol production currently relies mainly on maize (nearly 50%) and sugarcane (30%), with the rest coming from damaged foodgrain and other sources, according to NITI Aayog.

Ethanol production is dependent on the vagaries of the weather. A weak monsoon could hit sugarcane and maize

output, disrupting ethanol supplies. Besides, there are concerns around excessive use of water in sugarcane farming.

India has already shifted from being a net exporter of maize to a net importer in 2024 due to the ethanol push. Production of maize-based ethanol rose from nil in 2021-22 to 46% in 2025-26, with maize contributing roughly 479 crore litres to the 1,050 crore litre ethanol allocation. According to the All India Distillers' Association, poultry alone consumes nearly 60% of India's maize. Industry estimates for 2025-26 indicate a potential maize shortfall of 17 million tonnes.

With food security also a concern, it will take a lot of trial and error for India to reach its ideal ethanol mix. **BT**

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